OPEN LETTER · EYE ON SHOALHAVEN COUNCIL

166 days from “phenomenal turnaround” to “unsustainable”: 18 questions for Council

Sent 8 October 2026 · To Shoalhaven City Council, Mayor White · Response requested by 23 October 2026

Note to councillors receiving a copy of this letter
The questions above are put to the Mayor and CEO on the public record.

If you believe they warrant answers, you are in a position to raise them directly in the chamber — through a Question on Notice, a Notice of Motion, or a question to the Mayor in open council.

That is one of the most effective ways to place these matters on the public record in a forum where a response cannot be declined. This publication will report whatever is raised and whatever is answered.

166 Days from “Phenomenal Turnaround” to “Unsustainable”: Eighteen Questions for the CEO and the Mayor
On the presentation to ratepayers on 6 October 2026
9 October 2026

What we found: the short version
• In April the CEO called the budget “a phenomenal turnaround”. On 6 October he said the Council is “unsustainable”. That is 166 days.
• Council says it needs $2.3 billion over 10 years but gets about $110 million a year from rates. It says $1.5 billion has no money behind it, mostly roads and community buildings.
• The CEO said a rate rise “has to be put onto the table”. He did not say how big. Our sums, from the CFO’s own figures: about 22% in one year to cover the 2027-28 shortfall. That is about $383 more for the average home ($7.37 a week). Leave out the waste profit and it is about 30%($514, or $9.88 a week). Fixing the roads with rates alone would be about 76% ($1,310 more a year).
• Rates already went up 12% last year. It raised $11.28 million a year. The CFO’s list of what fixed the budget left it out.
• The July flyer said $44.5 million was “banked for emergencies”. On 6 October the CFO said Council has a “lack of discretionary cash”. Only $16.4 million is free to spend, and last year it was nothing.
• On 6 October the CEO said selling land “should be a no-no”. On 25 August he said more land was needed to meet the $14.4 million budget. The CFO now says land sales cannot fix the problem.
• Nobody has said where the land money goes. The public has been given five different answers.
• Some numbers do not match Council’s own papers. “Debt halved” is a forecast for June

2027; today it is $78.5 million. Fuel is said to be up $50,000, but the budget paper says $1.38 million. A software bill came in at $3.4 million against a $1 million budget.
• Roads were a $280 million problem last year. Now they are $800 million over 10 years. Nobody has explained the difference.
• The money gap was found in 2023, before this Council, at $25 to $35 million a year. If another 22% to 30% is needed on top of the 12%, rates would be up about 47% to 57% over four years. The plan voted down in 2024 would have been about 48.5%. It is not the same plan, but the bill to households could be similar.
• This letter asks the CEO and the Mayor 18 questions. We want written answers by Friday 23 October 2026.

Mr Andrew Constance, Chief Executive Officer
Cr Patricia White, Mayor
Shoalhaven City Council, Bridge Road, Nowra NSW 2541

Dear Mr Constance and Mayor White,

I write in the knowledge that correspondence from this publication has, in recent months, been declined under guidance on unreasonable conduct.

I note, for the record, that the application of that guidance to a public-interest publication with more than 4,850 local readers is itself a matter currently before the NSW Ombudsman, as the Council has NOT delivered on an agreed outcome with that office.

The questions in this letter are not personal complaints. They are questions about public administration, raised openly on behalf of a readership representing approximately 5.6 per cent of Shoalhaven's registered voters. They are questions any member of the public could ask at an ordinary council meeting.

I put them here, in writing, on the public record — and will publish whatever response is received, including no response.

On 23 April 2026 Mr Constance called Council's draft budget "a phenomenal turnaround".

On 6 October, at one of the community forums on Council's finances, he told ratepayers "we are unsustainable". That is 166 days.

I have read the transcript of that presentation against Council's own record. Some of it checks out:

the 3.1 per cent rate peg, the 4 per cent award, and the CFO's candid figure of $16.4 million in discretionary cash. Some of it is contradicted by Council's own papers. And the one figure residents came for was not given.

Mr Constance told the room that increasing rates "has to be put onto the table", and did not say by how much.

On the CFO's own numbers, I calculate that closing the $21 million deficit he projected for 2027-28 would take a one-off rise of about 22 per cent including the peg, about $383 a year for the average residential ratepayer, or about 30 per cent ($514) if the waste surplus is excluded.
Funding the $800 million roads program from rates alone would take about 76 per cent. I have used a $110 million rate base, 60,789 rated assessments, a $1,728 average residential rate and a 3.1 per cent peg for 2027-28.

If any of those inputs is wrong, Council can say what the right ones are.

What changed, and what was said
1. What changed? On 16 September the invitation to these forums spoke of "significant financial pressures" and "difficult decisions". The budget adopted on 29 June already carried a $12.54 million deficit, up from $5.95 million when it was exhibited. What changed between 29 June and 6 October, and which adopted document records it? Was a $21 million deficit for 2027-28 in the Long Term Financial Plan adopted with the budget? If not, when was it first calculated, and when were councillors told?

1. The insert. Council sent every ratepayer an insert saying $44.5 million was "banked for emergencies". On 6 October the CFO said Council's second problem is "our lack of discretionary cash, which we can use for emergency funding", and put discretionary cash at $16.4 million at 30 June 2026 (draft), nil the year before. Which is right, and when will Council correct the insert?

1. Land sales. You told the room land sales "should be a no-no", and the CFO said "we can't turn that around with land sales". On 25 August you told the chamber Council had "more properties available as a contingency to meet the budget requirement of $14.4 million". Which is Council's position? How many of the twenty parcels have been sold or contracted since 28 July, for how much, and what is on the contingency list?

1. Where the money goes. You said proceeds pay down debt; the CFO said prior-year land sales would fund capital from 1 July 2027. Since 28 July the public has also been told the money goes to housing, to asset renewal, to "roads and budget repair", and to the Berry car park. MIN26.240 resolves none of it. What is the resolved destination, and is it consistent with the Strategic Property Account arrangement on page 33 of the 2017 Property Strategy?

1. Fuel and software. You said the fuel bill "has increased by $50,000". CL26.129 attributes $1.38 million of the post-exhibition deficit increase to fuel, and TechnologyOne licensing cost $3.4 million against a $1 million budget. Which fuel figure is right? Who approved the licence, and why was it budgeted at $1 million?

1. **Debt. The debt "halved" from $118 million to $55.9 million is a projection for 30 June 2027. The CFO's slide shows $78.5 million at 30 June 2026 (draft), a fall of about 34 per cent. What is the audited General Fund debt today, and what was the "$53 million reduction over two years" in the 23 April release measured against?**

The number, and what the last rise bought

7. How much? What rate rise, in per cent and in dollars for the average residential ratepayer, is Council modelling for 2027-28 and later years? Have councillors been shown scenarios in workshops, and will the community see them before any application to IPART is lodged?

1. **What it would be sized against, and what the 12 per cent delivered. The CFO gave $21 million and, excluding waste, $29.3 million. Which would an application be sized against, and how much of it is one-off or timing? The 12 per cent rise raises $11.28 million a year. When Council sought it, it said it would deliver $4 million in unrestricted cash by 30 June 2026 and $12.7 million for infrastructure renewal in 2025-26. What was delivered against each, and why does the CFO's list of what drove the improvement not mention it?**

1. **The 2023 gap. AEC Group's November 2023 review put the structural General Fund deficit at $25 to $35 million a year, before this term began. Does Council accept that the gap now described is that gap, narrowed by the 12 per cent and by cuts, but not closed?**

The backlog figures

10. Roads. You said $280 million in November 2025, and Cr Wilkins' Mayor's message of 4 September repeated $280 million. On 6 October it was $800 million over ten years. What does each figure measure, and how much of the $800 million is already funded, including the $40 million Shoalhaven Roads package?

1. **Community infrastructure and the $1.5 billion. You put community infrastructure at $715 million over ten years on 648 assets. The Community Infrastructure Strategic Plan 2056 values those facilities at about $684.5 million and puts the need at over $800 million across 30 years. Which is right? And since roads ($800 million) plus community infrastructure ($715 million) is $1.515 billion, does the "$1.5 billion unfunded" assume that none of either is funded?**

1. **Cost shifting and grants. The CFO's $429.60 per ratepayer does not appear in the Local Government NSW Cost Shifting 2025 report, where the NSW average is $497.40 and which that body commissioned from Morrison Low. What is the derivation, and why is it set against the $1,728 ordinary rate rather than the total council bill? What is Council's modelled loss under the Grants Commission's proposed Financial**

Assistance Grants method, and did Council lodge a submission by the 9 October deadline?

1. The Entertainment Centre. You floated leasing it to a hotel developer on the Gateway site. Is that a proposal of the executive or of Council? What would it save, has it been valued, and will it go to a public vote before any approach is made, given the $488 per new dwelling still levied for its construction?

1. The record. Will Council publish the recording of the 6 October session, the slides, and the questions asked with their answers?

Questions for the Mayor, on her public statements
15. "Next to nil." In 2025 you said the deficit would be "next to nil" by mid-2026. Council's projections then were about $18.5 million; the CFO now projects $21 million for 2027-28. What is your account of that?

1. The platform. Your group's 2024 platform promised rates held and warned of a "44 per cent secret rise". Council has since imposed 12 per cent and the CEO has put a further rise on the table. Do you rule out a further special rate variation for 2027-28? If not, what is the most you would support?

1. The workings. You said Council subsidises about $1.9 million a year in rent to not-for-profits and spends about $4 million a year on their buildings, and that between 2014 and 2024 "none of our asset management plans were renewed". Will you publish the schedule that produces $1.9 million, and the list of plans you say were not renewed?

1. The land. You said the land sales were "not about… a cash grab for the bottom line", while saying the hotel site could be sold "and put that money to the bottom line". The CFO has now said land sales cannot fix the deficit. What, in your view, do they fix?

I ask for written answers by Friday 23 October 2026. I will publish them, and any silence, in the same way.

For transparency, I am copying this letter to 31 people and organisations across the Shoalhaven: 22 Accredited Community Forums and community associations, our state and federal members of parliament, a political party office, the United Services Union, the Council on the Ageing NSW, and four local journalists. I do this so that everyone with an interest in how our Council works is looking at the same information at the same time. Each of them is free to follow up on these questions in whatever way they think is appropriate. I would welcome a response that I can share with all of them.

Yours sincerely,

Steve Prothero
Publisher, Eye on Shoalhaven Council

9 October 2026

Sources: the transcript of the CEO and CFO presentation of 6 October 2026 (timestamps available); Council news releases of 23 April and 4 September 2026; CL26.129 (29 June 2026); MIN26.240 (28 July 2026); the 25 August 2026 webcast; Council's December 2024 special rate variation material and IPART's 16 May 2025 decision; AEC Group, Financial Sustainability Review (November 2023); Local Government NSW, Cost Shifting 2025; the Community Infrastructure Strategic Plan 2056; IPART, Rate pegs for NSW councils for 2026-27.
